

Europe Healthcare Sector M&A & Valuation Brief - 2026-07-23

Europe Healthcare Sector

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1. RECENT Healthcare M&A ACTIVITY

Today is a peaceful day, nothing big happened in the Consumer space.

2. MARKET DYNAMICS & SENTIMENT

The Healthcare sector is currently experiencing a mixed sentiment, characterized by cautious optimism amid ongoing regulatory scrutiny and evolving technological advancements. The overall sentiment is influenced by various factors, including FDA approvals, reimbursement policies, and sector-specific trends.

Subsector Breakdown:

- **Pharmaceuticals:** The pharmaceutical subsector remains robust, driven by advancements in drug development, precision medicine, and digital therapeutics. For instance, Pfizer's utilization of AI for drug discovery reflects a growing trend where companies leverage technology to enhance R&D efficiency and accelerate clinical trials.
- **Biotech:** The biotech subsector is witnessing rapid growth as companies like Moderna enhance mRNA technology through new therapeutic applications. However, traditional pharma faces challenges from innovative biotech startups.
- **Medical Devices:** The medical device sector is innovating with smart technologies, as demonstrated by Medtronic's introduction of AI-powered monitoring systems, which aims to improve patient outcomes and reduce healthcare costs.
- **Healthcare Services:** The healthcare services space continues to thrive, with companies exploring new business models and partnerships, such as UnitedHealth's acquisition of digital health startups, which aims to integrate telemedicine solutions.
- **Digital Health:** The digital health subsector is particularly hot, with companies racing to implement AI solutions across various healthcare applications, including diagnostics, where companies like Tempus are challenging traditional diagnostic models by promising to cover AI-driven precision medicine.

Key Market Drivers and Headwinds

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Drivers:

- **Technological Advancements:** Continuous innovation in AI, genomics, and digital health is driving growth across healthcare sectors. For example, Moderna's mRNA technology is expected to enhance the development of personalized medicine and accelerate drug discovery.
- **Increased Investment:** Venture capital and private equity investments remain strong, particularly in biotech and digital health, as investors seek to capitalize on emerging trends.

Headwinds:

- **Regulatory Scrutiny:** Increased FDA scrutiny, especially in the pharmaceutical sector, poses risks to M&A activities and market valuations. Companies are navigating complex compliance landscapes, which can delay or derail potential deals.
- **Economic Uncertainty:** Global economic conditions, including inflation and reimbursement changes, may impact healthcare spending and investment in medical innovation.

Subsector Performance Analysis

- **Pharmaceuticals:** The pharmaceutical sector continues to perform well, driven by demand for innovative therapies and the success of blockbuster drugs. Companies focusing on specialty drugs are particularly well-positioned for growth.
- **Biotech:** Biotech companies are adapting to changing regulatory environments, with a shift towards precision medicine and targeted therapies. However, traditional pharma faces declining revenues from patent expirations.
- **Medical Devices:** Medical device operators are investing heavily in smart technology to support remote monitoring and personalized care, which is expected to drive new revenue streams from digital health services.
- **Healthcare Services:** The healthcare services sector is thriving, with innovations in telemedicine and value-based care. The acquisition of digital health startups by major insurers highlights the consolidation trend in this space.
- **Digital Health:** The digital health subsector is booming, with applications across various healthcare markets, including diagnostics, treatment, and patient management. Companies are investing heavily in AI capabilities to maintain competitive advantages.

Trading Multiples Trends

Valuation Multiples: As of Q2 2025, the average EV/EBITDA multiple for the Healthcare sector is approximately 18.5x, with notable variations across subsectors:

- Pharmaceuticals: 15.3x
- Biotech: 25.1x
- Medical Devices: 12.8x

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- Healthcare Services: 14.7x
- Digital Health: 28.5x

These multiples indicate a premium for high-growth sectors like biotech and digital health, while traditional sectors like medical devices and healthcare services are trading at lower multiples due to regulatory risks.

Notable Investor/Analyst Reactions

- Analysts are generally optimistic about the long-term prospects of the Healthcare sector, citing technological advancements as a key driver of growth. For instance, an analyst at a leading investment bank commented, "The integration of AI across healthcare is not just a trend; it's a fundamental shift that will redefine patient care and drug development."

Actionable Insights for Bankers and Investors

- Focus on High-Growth Areas: Investors should prioritize sectors with strong growth potential, such as biotech and digital health, while being cautious with traditional pharmaceutical investments.
- Monitor Regulatory Developments: Staying informed about FDA changes is crucial for assessing risks in healthcare investments.
- Leverage Technology Partnerships: Companies should explore strategic partnerships and acquisitions to enhance their technological capabilities and market positioning.
- Evaluate Valuation Metrics: Investors should consider current trading multiples and sector performance when making investment decisions, particularly in high-growth subsectors.

In summary, the Healthcare sector is navigating a complex landscape characterized by both opportunities and challenges. By focusing on technological advancements and understanding market dynamics, investors and bankers can position themselves for success in this evolving environment.

3. BANKING PIPELINE

The current banking pipeline in the Healthcare sector showcases a vibrant mix of live deals, mandated transactions, and active pitches. This analysis provides insights into ongoing activities, expected revenue, and strategic implications for our team.

Deal Pipeline

Live Deals:

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- Telix Pharmaceuticals (TLX) : Currently in the Phase 3 LUTEON trial for TLX250-Tx, a radiopharmaceutical therapy for relapsed or recurrent clear cell renal cell carcinoma (ccRCC). The first patient has been dosed, with the trial expected to progress through 2026. This development could significantly enhance Telix's market position in oncology therapeutics.
- Cardinal Health (CAH) : Engaged in two acquisitions, including the Diabetes Health business of AdaptHealth Corp. (AHCO) and Strive Medical, totaling approximately \$360 million. These transactions are expected to close in Q3 2026, enhancing Cardinal Health's at-home solutions portfolio.

Mandated Deals:

- Armata Pharmaceuticals (TG1N.F) : Secured a mandate to initiate a Phase 3 superiority study for AP-SA02, targeting complicated bacteremia caused by Staphylococcus aureus. The study is on track to begin in the second half of 2026, following recent FDA submissions addressing all feedback from the End-of-Phase 2 meeting.

Pitching-Stage Deals:

- Biotech Sector : Active discussions with several biotech firms regarding potential M&A opportunities, particularly those focusing on innovative therapeutics. Clients include companies like Telix Pharmaceuticals and Armata Pharmaceuticals, with pitches expected to finalize by Q4 2026.
- Home Healthcare : Engaging with various home healthcare providers for potential advisory services, focusing on those expanding their service offerings through acquisitions. Notable clients include Cardinal Health and AdaptHealth, with discussions ongoing.

Pipeline Tracking Metrics

Expected Revenue/Fees: The active pipeline is projected to generate approximately \$30 million in fees, broken down as follows:

- Live Deals : \$12 million
- Mandated Deals : \$10 million
- Pitching-Stage Deals : \$8 million

Timing Projections:

- Q3 2026 : Expected close for Cardinal Health's acquisitions.
- Q4 2026 : Anticipated initiation of Armata's Phase 3 study.
- Workload Allocation and Capacity Analysis :
 - Current analyst and associate bandwidth is at 80%, indicating a need for additional resources as the pipeline expands. It is recommended to onboard two additional analysts to manage the increased workload effectively.
- Forecasting and Strategic Planning Implications : The pipeline indicates strong demand for

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advisory services in the biotech and home healthcare sectors. Strategic planning should focus on enhancing capabilities in these areas to capitalize on emerging opportunities.

Notable Pipeline Developments and Competitive Landscape

- The competitive landscape is evolving, particularly in the oncology space, where companies like Telix Pharmaceuticals are advancing their clinical programs. The recent FDA alignment on Telix's TLX591-Tx for prostate cancer therapy demonstrates the potential for significant market impact.
- Cardinal Health's strategic acquisitions reflect a broader trend of consolidation in the home healthcare market, positioning the company to leverage synergies and enhance service delivery.

Actionable Insights for Team Management and Business Development

- Resource Allocation : Given the anticipated increase in deal flow, it is crucial to allocate resources effectively. Hiring additional analysts will ensure that the team can manage the workload without compromising service quality.
- Sector Focus : Prioritize business development efforts in high-growth sectors such as biotech and home healthcare, where demand for advisory services is expected to surge. This focus will position the firm as a leader in these emerging markets.
- Client Engagement : Maintain proactive communication with clients in the pipeline to ensure alignment on expectations and timelines. Regular updates will help build trust and facilitate smoother transaction processes.

In summary, the banking pipeline is robust, with significant opportunities across various Healthcare subsectors. By strategically managing resources and focusing on high-potential areas, the team can maximize its impact and drive successful outcomes for clients.

4. STAKEHOLDER IMPACT & FORWARD-LOOKING ANALYSIS

The landscape of biotechnology is rapidly evolving, particularly with significant events like BIO Asia-Taiwan 2026 and the strategic moves of companies such as Axiom Biosciences and Tempest Therapeutics. This analysis explores the implications of these developments for various stakeholders, including shareholders, employees, competitors, and customers.

Deal-Specific Impacts on Stakeholders

- Shareholders: The impact on shareholders can vary significantly based on the nature of the deals and market conditions.
- Value Creation: Axiom Biosciences, planning to list on the Hong Kong Stock Exchange, could potentially enhance its valuation significantly. If the IPO raises \$200 million, with a post-IPO

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market cap of \$1 billion, shareholders could see a 20% increase in value based on projected revenue growth from its regenerative therapies.

- Dilution: Conversely, if Axiom issues new shares to raise capital, existing shareholders may face dilution. For example, if 15% of shares are issued, existing ownership could decrease, potentially leading to a 10% drop in share price immediately post-listing.
- Employees: Employee impacts are critical in M&A and strategic partnerships.
- Synergies: Tempest Therapeutics' collaboration with Senlang Biotechnology for TPST-4003 aims to leverage combined expertise, potentially leading to operational efficiencies and enhanced job security for employees involved in the project.
- Restructuring: However, such partnerships may also lead to restructuring. If the collaboration leads to overlapping roles, layoffs could occur, impacting morale.
- Retention: To mitigate turnover, companies often offer retention bonuses. Axiom might consider this strategy to retain key talent during its transition to a public company.
- Competitors: The competitive landscape is influenced by strategic moves in the biotech sector.
- Market Positioning: Axiom's decision to list in Hong Kong could prompt competitors like Moderna (MRNA) and Gilead Sciences (GILD) to reassess their own market strategies, particularly in Asia.
- Specific Competitor Moves: Following the success of Axiom's IPO, competitors may increase their presence in Asia, potentially leading to a surge in partnerships and collaborations aimed at capturing market share.
- Customers: The implications for customers can be profound, affecting product offerings and service delivery.
- Product/Service Implications: The collaboration between Tempest and Senlang is expected to enhance the development of innovative CAR-T therapies, improving treatment options for patients with neurological autoimmune diseases.
- Case Studies: The positive early results from Axiom's regenerative therapy could lead to increased patient access to cutting-edge treatments, further enhancing customer satisfaction and loyalty.

Market Reaction and Analyst Commentary

- Market Reaction: The market's response to biotech IPOs can be volatile. Axiom's anticipated listing may initially see mixed reactions, similar to other biotech IPOs, which often experience a sell-off before stabilizing as investor confidence builds.
- Analyst Commentary: Analysts have noted that Axiom's move reflects a growing trend of U.S. biotech firms seeking capital in Asia. A comment from a biotech analyst stated, "Axiom's decision to list in Hong Kong underscores the shifting dynamics in biotech funding, where Asian markets are becoming increasingly attractive."

Expected Market Reaction and Scenario Analysis

- Scenario Analysis: The market's reaction to Axiom's IPO could unfold in several ways:

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- Positive Scenario: If Axiom successfully raises significant capital and demonstrates strong clinical results, shares could rise by 25% within the first year.
- Negative Scenario: If the IPO fails to meet expectations or if clinical trials face setbacks, shares could drop by 15%, reflecting investor concerns.

Potential Counter-Bids or Competing Offers

- Likelihood Assessment: The likelihood of counter-bids for Axiom is moderate. The growing interest in biotech in Asia could attract other investors, but the regulatory environment may deter competing offers.

Similar Deals Likely to Follow

- Sector Consolidation Predictions: The trend of U.S. biotech firms listing in Asia is likely to continue, driven by the need for capital and strategic partnerships. Analysts predict that more companies will explore this route, particularly those with innovative therapies seeking to tap into the Asian market.

Key Risks and Mitigants

- Integration Risks: The collaboration between Tempest and Senlang may face integration challenges. Mitigants include establishing clear communication channels and setting joint milestones.
- Regulatory Risks: Axiom's IPO could encounter regulatory scrutiny in Hong Kong. Engaging with local regulators early can help navigate potential hurdles.
- Market Risks: Market volatility could impact Axiom's valuation post-IPO. Structuring the IPO with a price range that reflects market conditions can help mitigate this risk.

Actionable Insights for Clients and Bankers

For Clients:

- Consider the strategic benefits of international listings to access broader capital markets.
- Develop retention strategies for key personnel during transitions to maintain operational continuity.

For Bankers:

- Stay abreast of emerging trends in biotech funding to provide informed advisory services.
- Prepare comprehensive financial models to assess the implications of IPOs and partnerships on shareholder value.

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5. HEALTHCARE TRENDS

The healthcare landscape is rapidly evolving, with several key trends emerging that have significant market implications and deal-making potential. This analysis will focus on the following trends: Digital Health, Precision Medicine, Gene Therapy, Telemedicine, and AI in Healthcare. Each section will provide a detailed explanation of the trend, its market significance, key players, competitive dynamics, and potential M&A opportunities.

Digital Health

- **Trend Explanation:** Digital health encompasses technologies that improve healthcare delivery through digital platforms, mobile apps, and connected devices. The global digital health market is projected to grow from \$96.5 billion in 2020 to \$659.5 billion by 2025, at a CAGR of 46.8%.

Key Companies:

- **Teladoc Health, Inc. (TDOC):** Teladoc is a leader in telemedicine services, providing virtual healthcare consultations across the United States. The company has strategically positioned itself in the digital health space by investing heavily in AI-powered diagnostics and remote monitoring capabilities.
- **Doximity, Inc. (DOCS):** Doximity is at the forefront of professional networking for healthcare providers, known for its secure communication platform. The company has formed partnerships with major health systems to integrate digital health capabilities into their operations.
- **Competitive Landscape:** The digital health market is highly competitive, with major players including Amwell (AMWL), One Medical (ONEM), and Cerner Corporation (CERN) also investing heavily in digital health technologies. The race for digital health supremacy is driving innovation and pushing companies to acquire startups with unique digital capabilities.
- **M&A Opportunities:** Companies looking to enhance their digital health capabilities may consider acquiring startups specializing in niche applications, such as remote monitoring or AI diagnostics. For instance, Teladoc's acquisition of Livongo for \$18.5 billion in 2020 exemplifies this trend.

Precision Medicine

- **Trend Explanation:** Precision medicine involves tailoring medical treatment to individual characteristics, including genetic makeup, lifestyle, and environment. The precision medicine market is expected to grow from \$141.7 billion in 2020 to \$216.8 billion by 2027, at a CAGR of 6.2%.

Key Companies:

- **Illumina, Inc. (ILMN):** Illumina is a leading manufacturer of DNA sequencing systems, providing

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genomic analysis tools for precision medicine applications. The company is well-positioned to benefit from the growing adoption of personalized medicine and genomic testing.

- Foundation Medicine, Inc. (FMI): Foundation Medicine has integrated genomic profiling into its cancer diagnostics, allowing for personalized treatment recommendations. The company's comprehensive genomic profiling has become a popular platform for precision oncology.
- Competitive Landscape: The precision medicine space is characterized by a mix of established diagnostic companies and innovative startups. Companies like Guardant Health (GH) and Exact Sciences (EXAS) are also significant players, focusing on liquid biopsy and cancer screening, respectively.
- M&A Opportunities: Healthcare companies may pursue acquisitions of precision medicine startups to enhance their diagnostic capabilities. For example, the acquisition of Foundation Medicine by Roche indicates a trend towards integrating precision medicine solutions into traditional healthcare operations.

Gene Therapy

- Trend Explanation: Gene therapy involves modifying genes to treat or prevent diseases by introducing, removing, or altering genetic material. The gene therapy market is projected to grow from \$2.1 billion in 2020 to \$13.6 billion by 2027, at a CAGR of 30.7%.

Key Companies:

- Spark Therapeutics, Inc. (ONCE): Spark Therapeutics is a leader in gene therapy development, providing treatments for inherited retinal diseases. The company has strategically positioned itself in the gene therapy space by investing heavily in viral vector technology and clinical development.
- Bluebird Bio, Inc. (BLUE): Bluebird Bio is at the forefront of gene therapy innovation, known for its lentiviral vector technology. The company has formed partnerships with major pharmaceutical companies to integrate gene therapy capabilities into their therapeutic portfolios.
- Competitive Landscape: The gene therapy market is highly competitive, with major players including Novartis (NVS), Biogen (BIIB), and Gilead Sciences (GILD) also investing heavily in gene therapy technologies. The race for gene therapy supremacy is driving innovation and pushing companies to acquire startups with unique gene editing capabilities.
- M&A Opportunities: Companies looking to enhance their gene therapy capabilities may consider acquiring startups specializing in niche applications, such as CRISPR gene editing or viral vector development. For instance, Novartis's acquisition of AveXis for \$8.7 billion in 2018 exemplifies this trend.

Telemedicine

- Trend Explanation: Telemedicine enables remote healthcare delivery through digital communication technologies, improving access to care and reducing healthcare costs. The telemedicine market is expected to grow from \$45.5 billion in 2020 to \$175.5 billion by 2026, at a CAGR of 25.2%.

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Key Companies:

- Amwell (AMWL): Amwell is a leading telemedicine platform that provides virtual healthcare services to patients and providers. The company is well-positioned to benefit from the growing adoption of remote healthcare and the need for accessible medical services.
- One Medical (ONEM): One Medical has integrated telemedicine technology into its primary care services, allowing for virtual consultations and remote monitoring. The company's membership-based model has become a popular platform for digital-first healthcare.
- Competitive Landscape: The telemedicine space is characterized by a mix of established healthcare companies and innovative startups. Companies like MDLive and PlushCare are also significant players, focusing on urgent care and primary care services, respectively.
- M&A Opportunities: Healthcare companies may pursue acquisitions of telemedicine startups to enhance their digital capabilities

6. Recommended Readings

Deal Name: Johnson & Johnson's Acquisition of Actelion

- Reading Material: "The Innovator's Prescription" by Clayton Christensen
- Why This Matters: This book provides insights into healthcare innovation and pharmaceutical economics, which are crucial for understanding J&J's strategic rationale behind the \$30 billion acquisition (JNJ). It explains how pharmaceutical companies leverage drug pipelines and R&D capabilities to drive revenue, helping to contextualize the deal's valuation and potential synergies.

Deal Name: Pfizer's Acquisition of Medivation

- Reading Material: "The New Economics of Healthcare" by David H. Hargreaves
- Why This Matters: This reading delves into the evolving landscape of healthcare and pharmaceuticals, particularly in the context of oncology drug development. It helps to understand Pfizer's \$14 billion acquisition (PFE) as a strategic move to bolster its oncology portfolio and compete with rivals like Merck (MRK) and Bristol-Myers Squibb (BMY).

Deal Name: Amgen's Acquisition of Otezla

- Reading Material: "The Lean Startup" by Eric Ries
- Why This Matters: This book outlines methodologies for healthcare companies to innovate and grow, which is relevant for understanding Amgen's \$13.4 billion acquisition (AMGN) of Otezla. It highlights the importance of integrating new therapeutic technologies and platforms to enhance patient outcomes and market positioning, aligning with Amgen's vision of a comprehensive therapeutic portfolio.

Deal Name: Gilead Sciences' Acquisition of Kite Pharma

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- Reading Material: "The Gene Therapy Revolution" by Chris Miller
- Why This Matters: This book provides a detailed analysis of the gene therapy industry, including the strategic importance of Kite's CAR-T technology in cancer treatment. Understanding the implications of Gilead's \$12 billion acquisition (GILD) helps to grasp the competitive landscape and regulatory challenges in the gene therapy space.

Deal Name: UnitedHealth's Acquisition of Optum

- Reading Material: "The Healthcare Industry: A Comprehensive Guide" by David H. Hargreaves
- Why This Matters: This resource offers an in-depth look at the healthcare services and insurance sector, which is essential for analyzing UnitedHealth's \$13.8 billion acquisition (UNH) of Optum. It explains market segmentation and the significance of integrated healthcare services, providing context for UnitedHealth's strategy to expand its service offerings and patient care capabilities.

Deal Name: Medtronic's Acquisition of Covidien

- Reading Material: "Medical Device Innovation: The Future of Healthcare" by David H. Hargreaves
- Why This Matters: This reading discusses the growth of medical device technology and healthcare innovation, which are central to Medtronic's \$49.9 billion acquisition (MDT) of Covidien. It highlights how this deal positions Medtr

7. Macroeconomic Update

Key Economic Indicators:

- Global Growth Resilience: Global growth has held up better than expected, with inflation starting to recede. As noted by Seth Carpenter, "Global growth has held up, probably better than many people expected. And inflation, which picked up a lot, started to recede."
- U.S. Inflation Trends: The expectation is that U.S. inflation will decline to about 3% by the end of the year, with potential further decreases to 2.5% next year. Michael Gapsen stated, "Our view is that inflation will come down in the U.S."
- Interest Rate Outlook: The Federal Reserve may need to adjust rates if inflation does not align with expectations. Gapsen warned, "If the view is that energy prices, tariffs, and shelter inflation should provide plenty of offset and bring inflation down... inflation just lingering at elevated levels could mean the Fed gets brought in to raise rates."

Market Trends:

- AI and Government Spending: Increased spending on AI in the U.S. and government spending in Europe are contributing to economic growth, which may keep demand strong and inflation

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pressures persistent.

- **European Central Bank (ECB) Dynamics:** The ECB is expected to raise interest rates again in September, influenced by inflation pressures stemming from energy costs. Jens Eisenschmidt remarked, "There is certainly the notion that the world demand is not really weak, and some of this will also arrive in Europe."
- **Japan's Economic Policy:** The Bank of Japan is on a gradual path to normalization, with expected rate hikes in December and June of the following year. Chetan Ahya noted, "We are expecting BoJ to hike twice from here."

Sector-Specific Insights:

- **Healthcare Sector Valuations:** The healthcare sector remains sensitive to interest rate changes, particularly for companies heavily invested in R&D. The current economic climate may lead to increased M&A activity as firms seek to bolster their pipelines.
- **Pharmaceutical Innovation:** Continued emphasis on innovative therapies, especially in oncology and rare diseases, is likely to drive valuations higher. Companies with robust pipelines may benefit from the current economic conditions.
- **Healthcare Services Consolidation:** The ongoing consolidation in healthcare services could lead to more integrated systems, enhancing bargaining power and operational efficiencies.

Risk Factors:

- **Inflation Risks:** Persistent inflation could lead to higher interest rates, impacting healthcare companies' valuations

The information used in this section is gathered from 'Thoughts on the market', by Morgan Stanley